

A Project Report on
INFLUENCE OF SOCIAL MEDIA ON STOCK MARKET DECISIONS

Submitted to



Osmania University, Hyderabad-500007

in partial fulfilment of the requirements for the award of the degree of

Bachelor of Business Administration (BBA)

Submitted By

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Under the Guidance of

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2023-2026

INTERNAL GUIDE

EXTERNAL GUIDE

CERTIFICATE



Avinash College of Commerce Degree

ACC Towers, Plot No. 21, 22, 53 & 54
Ushamullapudi Road, Behind South India
Shopping Mall, A.S. Raju Nagar,
Kukatpally Housing Board Colony,
Kukatpally, Hyderabad

Date:

CERTIFICATE

This is to certify that the project entitled **“INFLUENCE OF SOCIAL MEDIA ON STOCK MARKET DECISIONS”** submitted to the Osmania University, in partial fulfilment of the requirements for the award of the Degree of Bachelor of Business Administration (BBA), is a Bonafide record of original project work done by **TEJASWINI** (Reg. No: 2085-23- 684-173) during the period of December 2025 to March 2026 her/his study in the UG Department of Management Avinash College of Commerce-Degree, Hyderabad, Telangana-500007. Under my supervision and guidance, the project has not previously formed the basis for the award of any Degree, Diploma, Associate ship, fellow ship or other similar title to any other candidate of any University. The project represents entirely an independent work of the candidate.

PROJECT GUIDE



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DATE:

CERTIFICATE

This is to certify that the project work entitled “**INFLUENCE OF SOCIAL MEDIA ON STOCK MARKET DECISIONS**” is the Bonafide work done by **TEJASWINI**, Roll No: 208523-684-173, as a part of their curriculum in the Department of Management, Avinash College of commerce-Degree, Kukatpally, Hyderabad-500072. This work has been carried out under my guidance.

Mrs.M.V Phanimala

PRINCIPAL

HOD

Mrs. Manasa Devi

INTERNAL GUIDE

EXTERNALGUIDE

DECLARATION

Date:

I, **TEJASWINI**(Reg.No.2085-23-684-173) hereby declare that the project entitled **“INFLUENCE OF SOCIAL MEDIA ON STOCK MARKET DECISIONS”** submitted to the Osmania University, in partial fulfilment of the requirements for the award of the Degree of Bachelor of Business Administration (BBA) is a Bonafide record of original project work done by me during the period of December 2025 to March 2026 under the supervision and guidance of **Mrs MANASA DEVI**, ASSOCIATE PROFESSOR and it has not formed the basis for the award of any Degree, Diploma, Associate ship, Fellowship or other similar title to any other candidate of any University.

SIGNATURE OF THE CANDIDATE

ACKNOWLEDGEMENT

This project is the end of my journey in obtaining my BBA Degree. At the end of my project, it is a pleasant task to express my thanks to all those who contributed in many ways to the success of this study and made it an unforgettable experience for me.

I sincerely record my thanks to **Mr. AVINASH BRAHMADEVARA** the Chairman and **Mr . B. SANTHOSH** Director of Operations of Avinash College of commerce - Degree, Kukatpally, and other members of the management committee for encouraging me to take up this UG program in this reputed Institution.

I am grateful to our Principal **Mrs. M. V. Phanimala** for providing us the opportunity and platform to work on the project and providing all the necessary facilities for the successful completion of this work.

I express my humble gratitude to Head of the Department for guiding, supporting, and inspiring me during my project work.

I am happy to express my gratitude to my Project Guide **Mrs MANASA DEVI** for guiding me throughout the project.

MOKILLA TEJASWINI

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ABSTRACT

The rapid growth of social media platforms has fundamentally changed how individuals' access and act on financial information. This study argues that social media is a critical force shaping investor behaviour and stock market outcomes through its unique combination of real-time content, expert views, and peer influence. While these features can empower investors, they also drive herd behaviour, emotional trading, and the spread of misinformation, contributing to volatility. Social media thus serves as both a valuable resource and a source of risk, with significant implications for investment strategies and risk tolerance. Investors must therefore rigorously evaluate online information and rely on reputable sources to avoid rash or poorly informed decisions. Another significant aspect of social media influence is its psychological impact on investors. Emotions such as fear, greed, and anticipation are intensified by online debates and viral content. FOMO drives many to invest impulsively in trending stocks, while panic selling often follows sudden negative news. These emotional reactions lead to short-term profits or losses rather than to consistent, long-term investment. As a result, social media amplifies market volatility and erratic price movements. Furthermore, social media is pivotal in shaping herd behaviour in financial markets. Investors often follow the majority, especially when they see sizable groups endorsing a particular stock or trend. Consequently, such collective action can inflate stock prices artificially or trigger sharp crashes if sentiment turns. Additionally, online communities and forums foster trust and a sense of belonging, prompting individuals to adopt prevailing views rather than conduct independent analysis. This underscores the importance of financial literacy and critical thinking in the digital age

Keywords:

Social Media, Stock Market, Investment Decisions, Investor Behaviour, Financial Information, Market Trends, Risk-Taking, Herd Behaviour, Digital Influence, Online Trading

CHAPTER-1
INTRODUCTION

1.1 INTRODUCTION

In recent years, social media has become a powerful platform for sharing information and opinions worldwide. Platforms such as Twitter (X), Instagram, Facebook, YouTube, and online forums now play an important role in influencing people's thoughts and decisions. In the context of financial markets, social media has significantly changed how investors receive information, analyse stocks, and make investment decisions. News about companies, market trends, expert opinions, and even rumours can spread rapidly through social media, affecting investor sentiment and stock prices within a short period.

The stock market is highly sensitive to information, and social media serves as a fast, easily accessible source of it. Individual investors increasingly rely on social media for stock tips, market news, and investment strategies, sometimes more than traditional financial reports or expert analysis. While social media can help investors stay informed and connected, it can also lead to emotional decision-making, herd behaviour, and the spread of misleading information. Therefore, understanding the influence of social media on stock market decisions is important for investors, companies, and regulators.

The stock market is highly sensitive to information and public sentiment. News, rumours, expert opinions, and viral posts shared on social media can quickly influence investor behaviour. Positive news about a company can increase demand for its shares, while negative news can cause panic selling. Social media also allows small investors to share ideas and react instantly, which can sometimes create sudden price fluctuations.

Moreover, influencers, financial bloggers, and online communities play an important role in shaping investment decisions. Discussions, reviews, and trending hashtags can impact market movements within a short time. However, not all information shared on social media is accurate, which may lead to misinformation and risky decisions. The stock market is highly sensitive to information and public sentiment. News, rumours, expert opinions, and viral posts shared on social media can quickly influence investor behaviour. Positive news about a company can increase demand for its shares, while negative news can cause panic selling.

This project aims to study how social media impacts investor behaviour and stock market decisions. It examines the role of online discussions, investor sentiment, and digital information flow in shaping investment choices. By analysing this influence, the study seeks to highlight

both the opportunities and risks associated with the growing use of social media in stock market decision-making.

1.2 NEED OF THE STUDY

With the rapid growth of digital communication and internet usage, social media has become a powerful platform for sharing information. Many people use platforms like YouTube, WhatsApp, Telegram, and Instagram not only for communication but also to get updates on business and the stock market. As a result, social media has become an important source of financial information. Many investors, especially young and new investors, follow online channels, influencers, and discussion groups to know which stocks to buy or sell. They depend on online reviews, stock tips, and trending news before making investment decisions. Since information spreads very quickly on social media, it can strongly influence stock prices and investor behaviour.

However, social media may also spread fake news, rumours, or biased opinions. This can create confusion, fear, or overconfidence among investors. As a result, investors may make emotional rather than logical decisions, increasing risk and market volatility. Therefore, it is necessary to study the influence of social media on stock market decisions. This project helps to understand how much investors depend on social media and how it affects their buying and selling behaviour. It also helps to examine whether social media creates awareness or leads to risky investment practices. Thus, this study is important for clarifying the role of social media in influencing stock market decision-making.

1.3 SCOPE OF THE STUDY

This study analyses how social media platforms such as Twitter, Instagram, YouTube, Reddit, WhatsApp, and Telegram influence investors' stock market decisions. The study mainly concentrates on retail investors and how they use social media as a source of financial information. The scope of the project includes understanding the type of information shared on social media, such as stock tips, expert opinions, company

news, trending topics, and online discussions. It also examines how this information affects investors' buying and selling behaviour, and whether it creates awareness or leads to emotional, risky decisions. The study also considers both positive and negative impacts of social media, including awareness creation, information accessibility, rumour spreading, and misinformation. Therefore, the scope of this project is to evaluate the influence of social media on investor decision-making and overall stock market behaviour within a defined group of investors.

1.4 OBJECTIVES OF THE STUDY

1. To study whether social media leads to informed decision-making or emotional and risky investment behaviour.
2. To understand the level of trust investors place in social media for investment decisions.
3. To identify the impact of social media news, trends, and online discussions on stock price movements.
4. To suggest measures for investors to make better decisions while using social media as a source of information.

1.5 RESEARCH METHODOLOGY

The data for this study were collected from both primary and secondary sources. The primary data were collected from respondents using a questionnaire prepared in Google Forms and circulated among investors through the internet and social media. Secondary data were collected from periodicals, websites, journals, and other sources related to social media and stock market investment decisions.

Research Design: The overall plan or strategy that outlines how a research study will be conducted. The present study considered an Exploratory and descriptive research design.

Sampling unit: The study used a convenience sampling method due to limited time and easy access to respondents. Participants were selected based on their willingness

and availability, enabling effective data collection from individuals who use social media and engage in stock market investment activities.

Sample size: The sample comprises 100 respondents, considered sufficient to reflect investors' opinions and analyse the influence of social media on stock market investment decisions.

Methods of Data Collection:

The study combines both primary and secondary data sources. Primary data were collected through a structured questionnaire administered to respondents who use social media platforms and are involved in stock market investments. Secondary data were gathered from journals, research articles, books, websites, and published reports related to social media and stock market decision-making.

1.6 LIMITATIONS

- The study was conducted within a limited timeframe, and the sample size was restricted to 100 responders; a larger sample would have given more reliable results, and the response collected from the target sample is projected to be biased opinions
- The study relied heavily on secondary data, which may have limitations in terms of accuracy and relevance

1.7 CHAPTERISATION

CHAPTER	TITLE
I	Introduction
II	Review of Literature
III	Conceptual study
IV	Data analysis and Interpretation
V	Findings, Suggestions, and conclusion

CHAPTER-2
REVIEW OF LITERATURE

REVIEW OF LITERATURE

1. **Jinsong Liu (2025), Multimodal Data-Driven Factor Models for the Stock Market Forecasting**, Research published in the Journal of Computer Technology and Software shows that combining market data, financial news, and social media sentiment improves stock market prediction accuracy. Studies in Pattern Recognition highlight the role of graph neural networks and multimodal deep learning in financial forecasting. The Journal of Computer Science and Software Applications explain the effectiveness of transformer-based and classification models in stock price prediction. Further research in the Transactions on Computational and Scientific Methods discusses reinforcement learning and ensemble models to improve financial risk control and stability of predictions. Overall, these publications confirm that multimodal data fusion enhances stock market decision-making models.
2. **Padam Raj Joshi, Babu Ram Rawat (2025), Social Media Influence on Investment Decisions**, A study in the KMC Journal examined how social media and online community groups impact investment decisions in Nepal. The authors found that social media platforms significantly shape investors' choices by providing market information and peer opinions. However, relying too much on online discussions can prompt investors to make irrational decisions. The research also identified capital market literacy as a mediating factor. Investors with greater financial knowledge are better able to evaluate social media information effectively. The findings confirm a positive relationship between social media use and investment decisions, underscoring the pivotal role of fostering financial literacy to empower investors to make more informed decisions.
3. **Eristy Minda Utami, Reva Yuliani, Gordana Pesakovic, Gusni (2025), financial knowledge and social influence on generation z intention to invest: the mediating role of financial attitude and literacy**, Researchers published a study in Media Ekonomi dan Manajemen to examine how financial knowledge and social influence affect Generation Z's intention to invest, with financial literacy and financial attitude as mediating variables. The study found that financial knowledge directly strengthened both financial literacy and financial attitudes, which, in turn, increased Generation Z's intention to invest. Specifically, as students understood concepts such as risk diversification, interest rates, and investment instruments, their confidence and readiness to invest increased. The research highlights that social influence—through family, peers, and social media—significantly shapes investment intentions by affecting financial literacy and attitudes. The findings show that financial literacy and attitudes serve as key mediators between financial knowledge, social influence, and investment intention.

4. **Gusti Ngurah Agung Dananjaya, Made Aristia Prayudi, Gd Nandra Hary Wiguna (2025), The Influence of Retail Investor Activity and Sentiment on Social Media on Stock.** Earlier research demonstrates that the rise of social media fundamentally alters retail investors' decision-making processes. Online communities serve as platforms for information exchange, opinion formation, and mutual influence among investors. When discussions intensify or go viral, these dynamics tend to elevate investor confidence and trading activity. Empirical studies further show that shifts in social media sentiment—whether positive or negative—directly affect trading volume and price volatility. Optimism in online discourse tends to increase demand for specific stocks, while negative sentiment often precipitates rapid price declines.
5. **Abdelrehim Awad, Adel Fathy Aziz, Talaat Rashad Shma (2025), The impact of social media on investor decision-making.** Research on the Egyptian stock market shows that it is strongly affected by global crises, inflation, geopolitical conflicts, and macroeconomic instability. Studies published between 2020 and 2024 indicate that events such as pandemics and international conflicts heightened market volatility and dampened investor confidence. The literature also notes that investors in emerging markets frequently use short-term trading strategies and technical analysis. At the same time, psychological factors, such as overconfidence and reliance on private information, significantly shape their decisions. Building on these findings, recent research has begun examining the role of social media in investor behaviour. Recent studies further highlight that social media has become a critical source of financial information.
6. **Oloyede Joseph (2025), The Impact of Social Media on Financial Market.** The Efficient Market Hypothesis asserts that financial markets quickly incorporate all available information into asset prices, making it difficult for investors to consistently earn abnormal returns. Nevertheless, anomalies such as momentum effects (the tendency for assets that have performed well in the past to continue performing well), market bubbles (periods where asset prices greatly exceed their intrinsic value), and excessive price fluctuations (large, unpredictable changes in asset prices) reveal that markets do not function with full efficiency. Such irregularities indicate that psychological and structural factors also drive price movements beyond pure fundamentals.
7. **David Hirshleifer, Lin Peng,(2024) Qiguang Wang. News diffusion in social networks and stock market reactions:** A study by the National Bureau of Economic Research examines how news spreads through social networks and shapes stock market reactions. The research shows that when companies announce earnings, social connections among investors influence how quickly information circulates. Firms in areas with stronger social network centrality trigger stronger immediate price reactions, drive higher trading volume, and accelerate stock price adjustments. Although prices

adjust quickly, trading volume stays elevated longer because investors hold differing opinions. The study coined the term "social churning" to show that investor discussions fuel disagreement and keep trading active even after prices absorb new information.

8. **Osaigbovo Daniel Adoghe (2024), Understanding the Impact of Social Media Sentiment on Financial Decision-making within the Stock Market**, Artificial intelligence techniques such as Long Short-Term Memory (LSTM), Random Forests, Support Vector Machines (SVMs), and Generative Adversarial Networks (GANs) are increasingly applied to stock market prediction, according to several research reports, industry white papers, financial analytics platforms, and institutional studies. Notably, these reports emphasise combining social media sentiment data from platforms such as Twitter and Reddit with technical indicators—RSI, MACD, and Moving Averages—to enhance forecasting accuracy.
9. **Karsten Müller, Yuanyuan Pan, Carlo Schwarz (2024), Social Media and Stock Market Participation**. Research shows that social media, especially Twitter, lowers the cost of accessing financial information. Users can quickly and cheaply access investment content and peer opinions, thereby removing prior barriers. The study finds that greater Twitter use is associated with higher stock ownership, greater dividend income, and more favourable views of stocks as long-term investments. To understand why social media has these effects, the paper examines underlying factors. It shows that social media's impact is greater in counties with fewer financial advisors and lower financial knowledge levels. In these contexts, social media often substitutes for traditional advice, attracting new investors and encouraging current ones to invest additional funds.
10. **Rattanaporn Saelee, Sumaman Pankham (2024), The Impact of Social Media and Emotional Intelligence on Investment Decision**. The study published in the TEM Journal examines how social media and emotional intelligence influence investment decisions in Thailand's stock market. It explains that social media affects investor sentiment and buying and selling behaviour by rapidly spreading financial information. Emotional intelligence helps investors control emotions, manage stress, and make rational decisions during market volatility. The study also highlights factors like risk perception, financial literacy, overconfidence, and optimism bias.
11. **Olga Balakina, Claes Backman, Anastasiia Parakhoniak (2024), Beyond Connectivity: Stock Market Participation in a Network**, A study in the Social Science Research Network (SSRN) reveals that social networks play a crucial role in stock market participation. The authors demonstrate that individuals are significantly more likely to join the stock market when they are connected to informed peers. Notably, increased social connections drive the highest participation among high-income people. The study identifies a key finding: this effect follows an S-shaped curve, where participation grows

12. slowly at first, surges at moderate connectivity, and stabilises at high connectivity.
13. **Philipp Maume, (2024), Capital markets regulation in the age of social media: an analysis of the GameStop incident under the EU Market Abuse Regulation**, A study in A Research Agenda for Financial Law and Regulation examines how social media challenges capital markets regulation, focusing on the GameStop incident. It notes that traditional regulation relies on disclosure, market transparency, and the “reasonable investor.” Social media accelerates the spread of information, introducing risks such as misinformation, anonymous influence, and coordinated retail investor behaviour (“swarm trading”), which undermine established frameworks such as the EU Market Abuse Regulation. The study discusses how online discussions on platforms like Reddit can affect stock prices without breaching traditional definitions of market manipulation. It highlights issues such as user anonymity, applying the "reasonable investor" standard to social media, and the limits of national regulators over global platforms.
14. **Efa Wakhidatus Solikhah (2024) , Sekar Nugraheni, Fawzi Rizki Pradana, online purchase Decision for tourism: how do social media marketing and artificial intelligence impact it?** According to a study in the Bulletin of Innovation in Management, social media marketing plays a pivotal role in online tourism purchase decisions by boosting brand awareness, fostering trust, and engaging consumers. Displays of reviews, images, and promotions help tourists make informed choices. Building on this, the study also finds that artificial intelligence improves purchasing decisions through personalised recommendations, chatbot assistance, and data analysis. AI enhances customer satisfaction and efficiency, which positively affects online buying behaviour.
15. **Muhammad Yamin Noch, Mohammad Ridwan Rumasukun (2024), A Qualitative Study on Asset Price Behaviour, Market Efficiency, and Information Role in Investment Decisions in the Capital Market.** Have you ever wondered why some stocks soar while others unexpectedly plunge, even when all the news is out? Financial market research often cites the Efficient Market Hypothesis (Fama, 1970), which holds that asset prices fully reflect all available information. Yet market anomalies, such as the momentum and value effects, suggest that markets are not perfectly efficient. Behavioural finance, by considering investor biases such as overconfidence, herding, and loss aversion, provides explanations for these inefficiencies— and highlights how these biases shape investment decisions and asset pricing.
16. **Saheelsingh Rajput, Memon Gulammustufa, Jignesh Vidani (2024), Why 90% of Stock Market Traders are in Loss?** Behavioural finance studies show that most traders incur losses due to psychological biases such as overconfidence, loss aversion, herding, fear, and greed. These factors often lead to emotional and irrational decisions. Research also shows that failing to

use proper risk management techniques, such as stop-losses, diversification, and position sizing, increases the likelihood of heavy losses, especially in volatile market conditions. Trading failures also stem from insufficient financial knowledge, the absence of a clear trading plan, and poor market analysis. Moreover, retail traders are at a disadvantage compared to institutional investors due to inferior technology, slower speeds, and less access to information. Taken together, previous literature concludes that trading losses result from a combination of behavioural, educational, and market-related factors.

17. **Anne Putri, Aries Tanno (2024), A Qualitative Study on Asset Price Behaviour, Market Efficiency, and Information Role in Investment Decisions in the Capital Market.** Previous studies explain that investor behaviour, financial knowledge, and market information play an important role in investment decision-making. Behavioural finance shows that psychological factors such as overconfidence, herding, and risk perception influence how investors select and manage their investments. Research also indicates that financial literacy improves investors' ability to analyse risk and return and helps them make rational decisions. Many studies show that the availability of accurate, timely information affects investment performance and reduces uncertainty in the capital market. Technological developments and digital platforms have further changed the way investors access market data and execute trades.
18. **Perret, vom Stein Stephani (2023), CEOs and social media – Tweeting and Stock Market Effects, Studies in Strategy and Leadership,** demonstrate that CEOs' direct, business-focused social media activity enhances both corporate reputation and investor perception. Other research in Investment Management and Financial Innovation shows such engagement strengthens corporate performance and increases market visibility. Research in the Journal of Information Systems shows that CEO tweets help build social capital and directly influence investor judgments. Similarly, studies in Online Information Review and Computational Economics reveal that CEO posts—especially corporate updates and sentiment-driven messages—impact stock returns and cryptocurrency markets. Furthermore, additional findings from the Journalism and Mass Communication Quarterly confirm that CEO online disclosure strengthens perceptions of leadership and stakeholder trust.
19. **Suresh Khadka, Bal Ram Chapagain (2023) , Relationship between Social Media and Investment Decisions in the Nepali Stock Market.** A 2023 study examined the relationship between social media and investment decisions in the Nepali stock market. The review highlights that social media platforms play a significant role in the spread of financial information, the influence of investor sentiment, and the shaping of trading behaviour. It explains that online community behaviour, corporate image shared on social media, and the content circulated online significantly affect retail investors'

decision-making processes. The literature further emphasises that while social media can provide timely and useful information, it may also lead to biased or irrational investment decisions, especially among less experienced investors.

- 20. Rizka Ismi Khoiriah, Anis Wahyu Intan Maris (2023), 17. Opportunities, Challenges, and Capital Market Education Strategies through social media,** A study published in the Journal of Pendidikan Ekonomi & Bisnis examined the use of social media for capital market education, particularly focusing on novice and prospective investors. Social media enables influencers to share investment knowledge easily, but it also carries risks, including misinformation, fraud, plagiarism, and low investor literacy. The research emphasises the use of certified influencers, simple language, visuals, and relevant topics that resonate with these audiences. To address these challenges and opportunities, the authors propose a strategic management process designed to make capital market education via social media more effective and secure for novice investors. They are encouraged to actively seek out trustworthy sources, stay informed, and participate in educational initiatives to enhance their knowledge of investments and security.
- 21. Jassim Ahmad Al-Gasawneh, Khalid N. AlZubi, Mohammad Hasan, Abdul Hafaz Ngah, Alaeddin Mohammad Khalaf Ahmad (2023), Multidimensionality of visual social media marketing and its impact on customer purchase intention on the real estate market,** A study in Innovative Marketing (2023) examined visual social media marketing (VSMM) and its impact on customer purchase intention in Jordan's real estate market. VSMM includes informative, entertaining, and remunerative content, which significantly influences purchase intentions. The study also highlighted electronic word of mouth (e-WOM) as a mediator between VSMM and purchase intention. Findings showed that engaging with attractive, informative visuals leads customers to positive purchase intentions.

CHAPTER-3
CONCEPTUAL STUDY

TITLE: INFLUENCE OF SOCIAL MEDIA ON STOCK MARKET DECISIONS.

The rapid growth of technology and digital platforms has significantly transformed financial markets, particularly affecting Generation Z (Gen Z) investors. With easy access to online platforms and social media, young individuals are increasingly participating in investment activities. However, their decisions are shaped by several important factors, including financial knowledge, financial literacy, financial attitude, and social influence.

3.1 Financial Knowledge and Financial Literacy

Financial knowledge refers to the understanding of basic financial concepts, including saving, investing, risk, and return. When individuals possess strong financial knowledge, they are better equipped to analyse investment options and make informed decisions. Financial literacy, on the other hand, is the ability to apply this knowledge effectively in real-life financial situations.

The study highlights that financial knowledge alone is not enough; it must be supported by financial literacy. Financial literacy acts as a mediating factor, helping convert knowledge into practical investment decisions. Higher financial literacy leads to better risk evaluation and reduces the likelihood of making poor investment choices.

3.2 Financial Attitude

Financial attitude refers to an individual's mindset or behaviour towards money management, saving, and investing. A positive financial attitude encourages disciplined investment behaviour, long-term planning, and risk awareness.

The research findings show that financial attitude also plays a mediating role between financial knowledge and investment intentions. Even if a person has knowledge, a poor attitude (like impulsive decision-making) may lead to risky investments. Therefore, developing a positive financial attitude is essential for effective investment planning.

3.3 Social Influence and Role of Social Media

Social influence, especially through social media, plays a crucial role in shaping investment decisions among Gen Z. Platforms like Instagram, YouTube, and Twitter allow influencers to share financial advice and market trends. While this increases

awareness, it also introduces risks, including misleading information, scams, and herd behaviour

Investors often rely on influencers without verifying the authenticity of information. This can lead to emotional decision-making rather than rational analysis. Hence, social influence indirectly affects investment intentions through financial literacy and attitude.

3.4 Behavioural Factors in Investment Decisions

The study also emphasises behavioural aspects such as:

- Herd mentality – following others without proper analysis
- Overconfidence – overestimating one's knowledge or ability
- Emotional decision-making – influenced by trends and news

These factors challenge traditional theories like the Efficient Market Hypothesis (EMH), suggesting that markets are not always perfectly rational or efficient.

3.5 Role of Information and Market Dynamics

Information plays a central role in investment decisions. In the digital era, information spreads quickly through social media and online platforms. However, not all information is reliable. The presence of fake news, biased opinions, and algorithm-driven content can distort investor perceptions.

Market dynamics are influenced by:

- Investor sentiment
- Economic indicators
- Technological advancements
- Regulatory policies

These factors collectively impact asset prices and investment behaviour.

3.6 Importance of Financial Education

The study strongly highlights the need for financial education programs, especially for young investors. Proper education can:

- Improve financial literacy
- Develop positive financial attitudes
- Reduce dependence on unreliable sources
- Encourage informed and rational decision-making

Collaboration between stock exchanges, regulators, and social media influencers is necessary to provide accurate and trustworthy financial information.

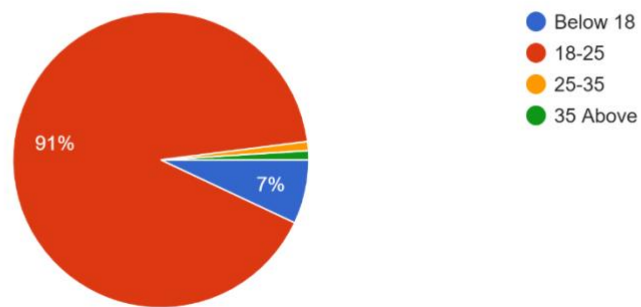
CHAPTER-4
DATA ANALYSIS AND
INTERPRETATION

4.1 Age of Respondents

Table 4.1.1

S.No	Age	No. of Respondents	Percentage
1	Below 18	7	7%
2	18-25	91	91%
3	25-35	1	1%
4	35 Above	1	1%
	Total	100	100%

1.Age of the respondents
100 responses



Source: Primary Data

Figure 4.1.1

Intrepretation

The pie chart shows the age distribution of 100 respondents. The majority of respondents (91%) are in the **18–25 age group**, indicating that most participants are young adults. About **7% are under 18 years old**, while **only a very small percentage are in the 25–35 and 35+ categories**. This shows that the survey responses mainly come from people aged **18–25**.

4.1.2 Gender of Respondents

Table 4.1.2

S.No	Gender	No. Of Respondents	Percentage
1	Male	40	40%
2	Female	60	60%
	Total	100	100%

Source: Primary data

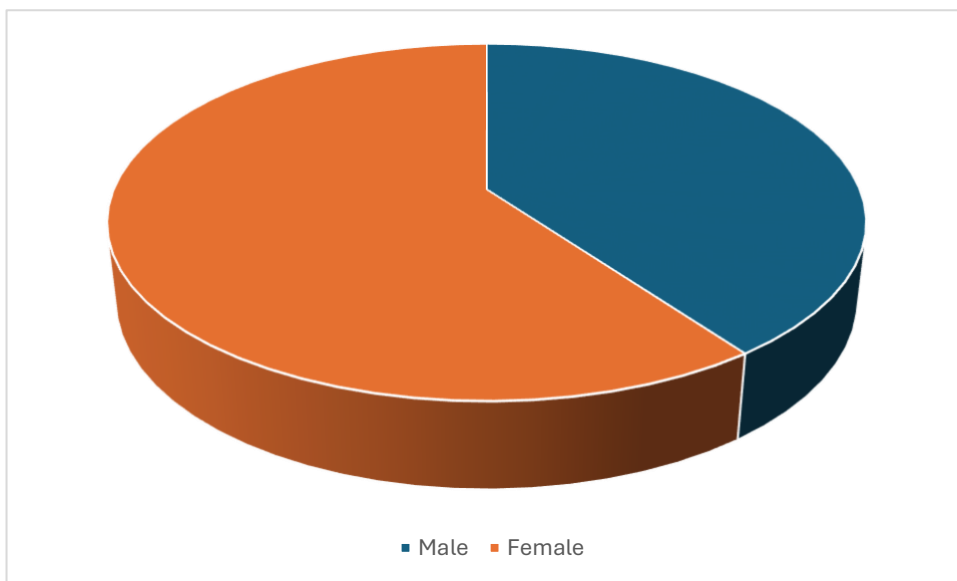


Figure 4.1.2

Interpretation

The pie chart shows the gender distribution of 100 respondents in the study on the **influence of social media on stock market decisions**. Of the total respondents, 60% are female, **and 40% are male**. This indicates that female participants form the majority of the sample, suggesting that women also actively engage with social media platforms and may use them to gather information that influences their stock market investment decisions.

4.1.3 Monthly Income

Table 4.1.3

S.No	Monthly Income	No. Of Respondents	Percentage
1	Below 10,000	14	14%
2	11,000-20,000	9	9%
3	21,000-30,000	1	1%
4	30,000 Above	8	8%
5	No personal income	68	68%
	Total	100	100%

Source: Primary data

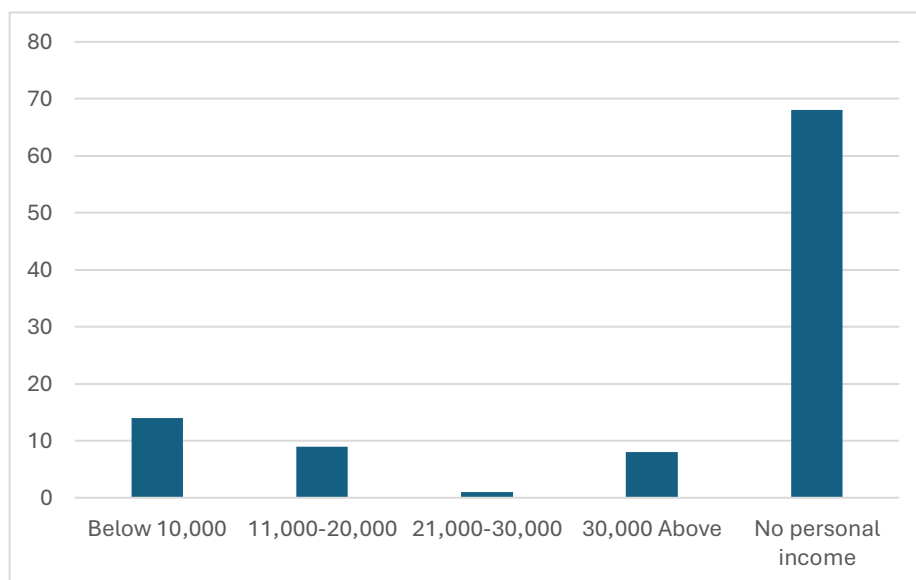


Figure 4.1.3

Interpretation:

The pie chart shows the monthly income distribution of 100 respondents. A majority (68%) reported **no personal income**, indicating that most respondents may be students or unemployed. About **14% earn below 10,000**, **9% earn between 11,000 and 20,000**, **8% earn between 21,000 and 30,000**, and only a **small portion earn above 30,000**. Overall, the data suggest that most participants do not have a regular personal income, while a smaller group falls into lower-income brackets.

4.1.3 Occupation

Table 4.1.4

S.No	Occupation	No. Of Respondents	Percentage
1	Student	90	90%
2	Employee	7	7%
3	Business	3	3%
4	Other	0	0%
	Total	100	100%

Source: Primary Data

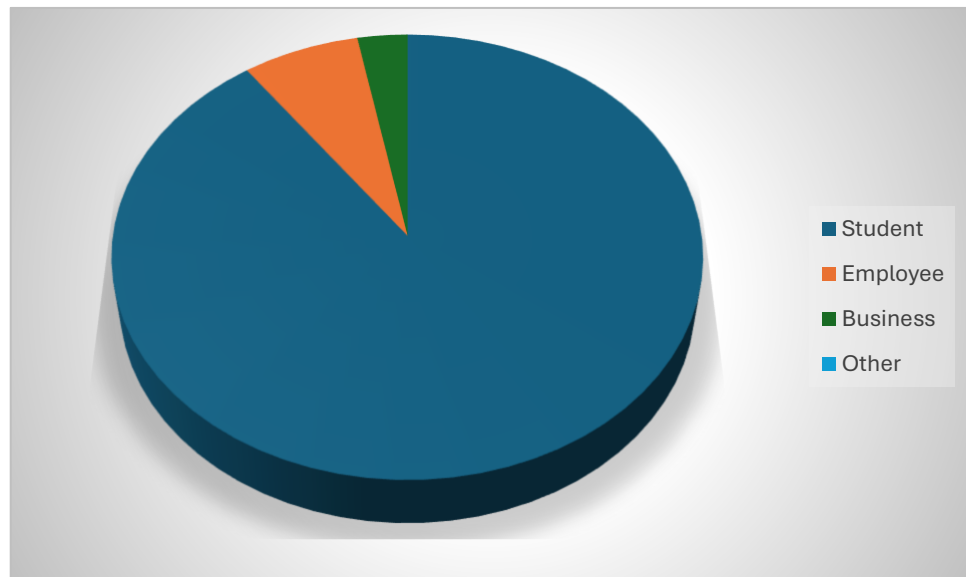


Figure 4.1.4

Interpretation:

The pie chart shows the occupation of 100 respondents. The majority, **90%**, are **students**, indicating that most participants belong to the student community. **7%** are **employees**, while a very small percentage are involved in **business** or **other occupations**. This suggests that students largely dominate the survey sample.

4.1 To study whether social media leads to informed decision-making or emotional and risky investment behaviour

4.1.1 How often do you use social media for investment information?

Table 4.1.1

S.No	Particulars	No. Of Respondents	Percentage
1	Always	26	26%
2	Often	14	14%
3	Sometimes	31	31%
4	Rarely	8	8%
5	Never	21	21%
	Total	100	100%

Source: Primary Data

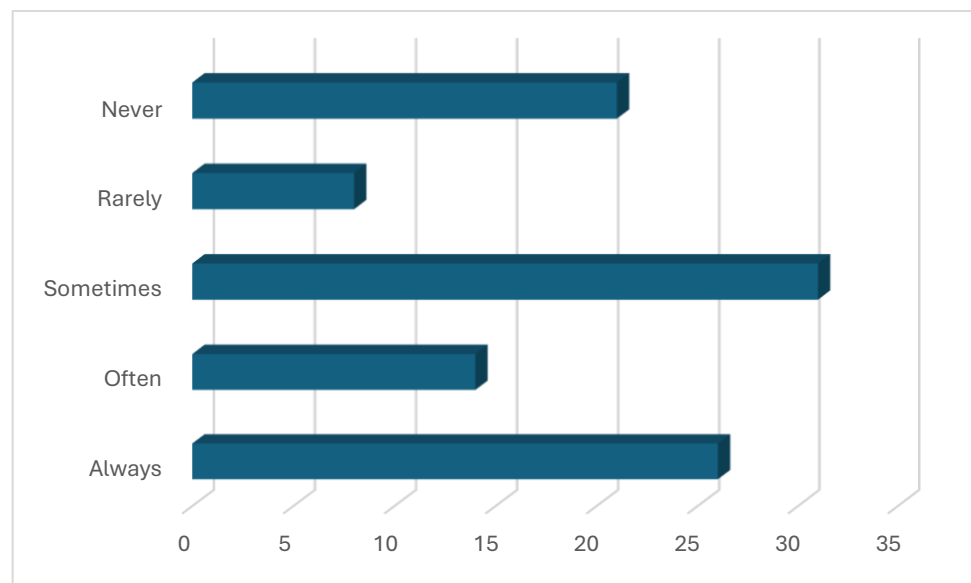


Figure 4.1.1

Interpretation:

The pie chart shows how often respondents use social media for investment information. **31%** use it **sometimes**, making it the most common response. **26%** **always** use social media for investment information, while **14%** use it **often**. Meanwhile, **21%** **never** use social media for this purpose, and **8%** use it **rarely**. This indicates that social media is a moderately common source of investment information for many respondents.

4.1.2I invest based on trending topics on social media?

Table 4.1.1

S.No	Particulars	No. Of Respondents	Percentage
1	Strongly Agree	12	12%
2	Agree	29	29%
3	Neutral	36	36%
4	Disagree	16	16%
5	Strongly Disagree	7	7%
	Total	100	100%

Source: Primary Data

6. I invest based on trending topics on social media?

100 responses

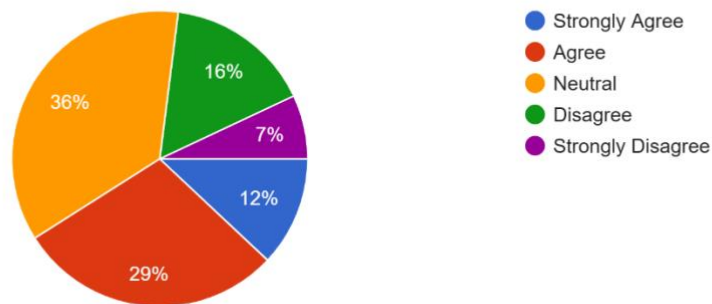


Figure 4.1.1

Interpretation:

The pie chart shows how social media trends influence investment decisions among 100 respondents. About **36% strongly agree**, and **29% agree** that they invest based on trending topics on social media, indicating that a majority of people are influenced by online trends when making investment decisions. Meanwhile, **16% disagree**, and **7% strongly disagree**, showing that a smaller group does not rely on social media trends. **12% remain neutral**, suggesting they are unsure or only slightly influenced. Overall, the chart indicates that **social media trends significantly influence stock market investment decisions**.

4.1.2I verify the information before making investment decisions.

Table 4.1.2

S.No	Particulars	No. Of Respondents	Percentage
1	Always	42	42%
2	Often	17	17%
3	Rarely	20	20%
4	Sometimes	15	15%
5	Never	6	6%
	Total	100	100%

Source: Primary Data

7. I verify the information before making investment decisions?

100 responses

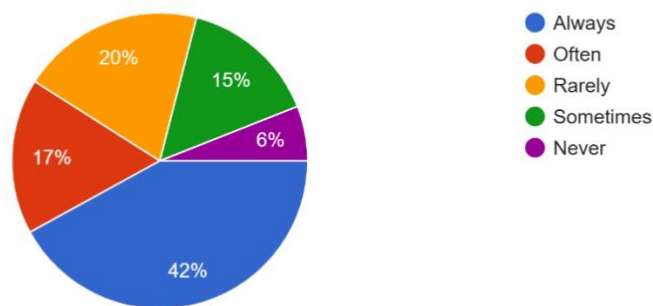


Figure 4.1.2

Interpretation:

The pie chart shows how often respondents verify information before making investment decisions. About **42% always verify** the information, indicating that many investors carefully check details before investing. **17% often verify**, showing a moderate level of caution. Meanwhile, **20% rarely verify**, **15% sometimes verify**, and **6% never verify** the information. Overall, the chart suggests that **most investors verify information before making investment decisions, but some still rely on unverified information.**

4.1.4 Social Media creates emotional pressure (fear or excitement) to invest?

Table 4.1.8

S.No	Particulars	No. Of Respondents	Percentage
1	Strongly Agree	16	16%
2	Agree	38	38%
3	Neutral	35	35%
4	Disagree	3	3%
5	Strongly Disagree	8	8%
	Total	100	100%

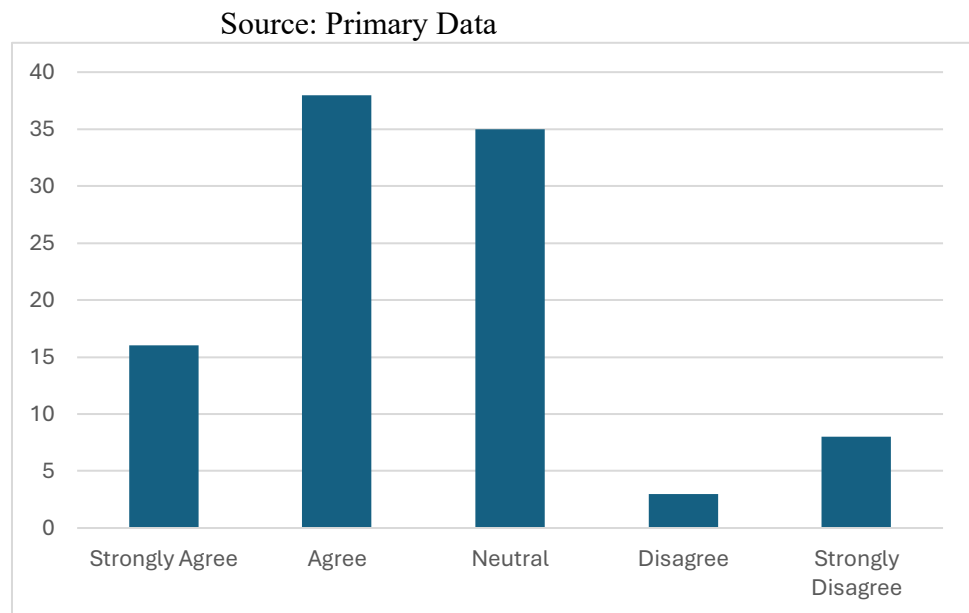


Figure 4.1.4

Interpretation:

The pie chart shows whether social media creates emotional pressure (fear or excitement) to invest. About **38% agree**, and 16% strongly agree, that social media creates emotional pressure when making investment decisions. **35% are neutral**, showing they are unsure about its influence. Meanwhile, **8% disagree**, and 3% strongly disagree, indicating that only a small number of respondents do not feel such pressure. Overall, the chart suggests that **social media can exert emotional influence on many investors when they decide to invest.**

4.1.5 I have made risky investments due to social media influence.

Table 4.1.5

S.No	Particulars	No. Of Respondents	Percentage
1	Yes, frequently	20	20%
2	Yes, sometimes	29	29%
3	Rarely	18	18%
4	Never	33	33%
	Total	100	100%

Source: Primary Data

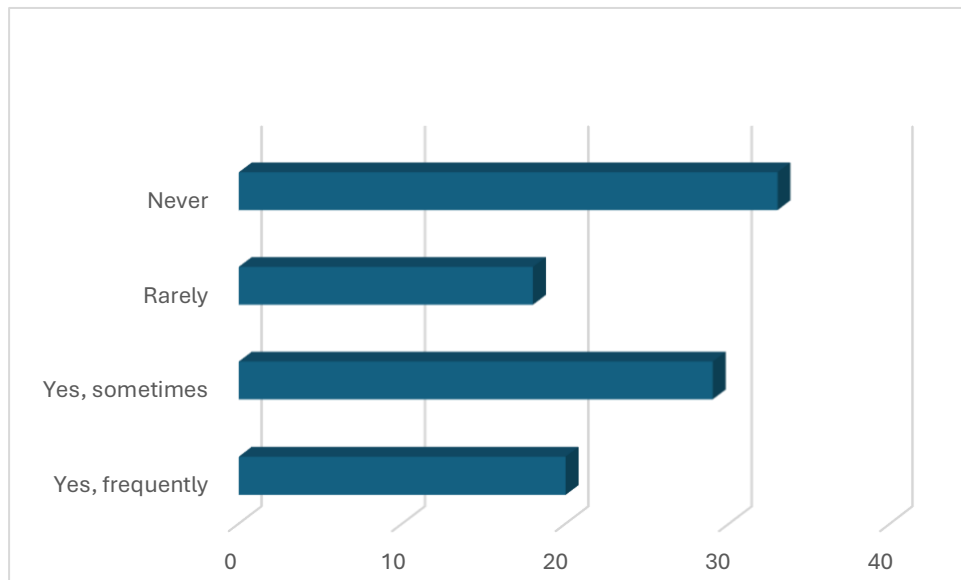


Figure 4.1.5

Interpretation:

The pie chart shows the percentage of respondents who have made risky investments influenced by social media. About **20% said yes, frequently**, and **29% said yes, sometimes**, indicating that many investors are influenced by social media when making risky investment decisions. Meanwhile, **18% rarely** make such investments, and **33% never** make risky investments because of social media. Overall, the chart suggests that **social media can influence some investors to take risks, while others remain cautious.**

4.2 To understand the level of trust investors place in social media for investment decisions.

4.2.1 How much do you trust investment advice shared on social media?

Table 4.1.1

S.No	Particulars	No. Of Respondents	Percentage
1	Yes	9	9%
2	No	21	21%
3	Sometimes	50	50%
4	Do Not Trust All	20	20%
	Total	100	100%

Source: Primary Data

10. How much do you trust investment advice shared on social media?
100 responses

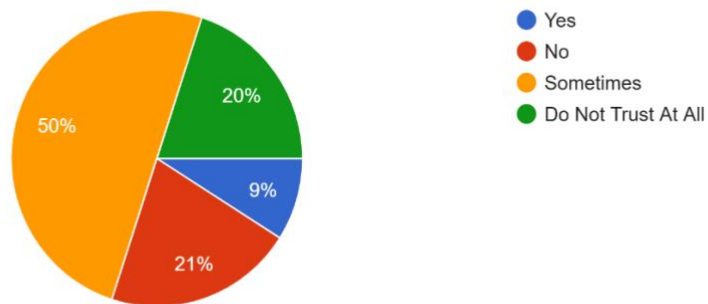


Figure 4.1.11

Interpretation:

The pie chart shows the level of trust in investment advice shared on social media. About **50% of respondents sometimes trust** the advice, indicating moderate confidence in social media information. **21% do not trust** such advice, while **20% do not trust it at all**, showing that many people are sceptical. Only **9% fully trust** investment advice on social media. Overall, the chart suggests that **most investors are cautious and rely on social media investment advice only occasionally**.

4.2.2 Which platform do you mainly use for investment information?

Table 4.2.2

S.No	Particulars	No. Of Respondents	Precentage
1	Youtube	20	20%
2	Instagram	30	30%
3	Twitter	9	9%
4	Facebook	1	1%
5	Others	40	40%
	Total	100	100%

Source: Primary Data

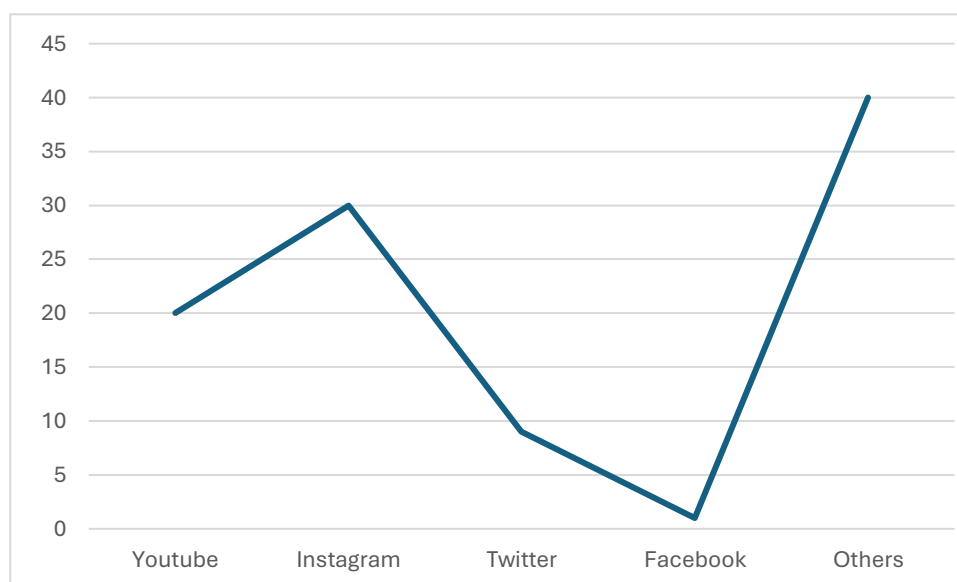


Figure 4.2.2

Interpretation:

The pie chart shows the social media platforms mainly used for investment information. **40% of respondents use other platforms**, making it the most common source. **30% use Instagram**, while **20% prefer YouTube** for investment information. **9% use Twitter (X)**, and only **1% use Facebook**. Overall, the chart indicates that **people use a variety of platforms to get investment information, with Instagram and YouTube being popular choices.**

4.2.3 Financial influencers provide reliable advice?

Table 4.2.3

S.No	Particulars	No. Of Respondents	Percentage
1	Strongly Agree	10	10%
2	Agree	28	28%
3	Neutral	46	46%
4	Disagree	10	10%
5	Strongly Disagree	6	6%
	Total	100	100%

Source: Primary Data

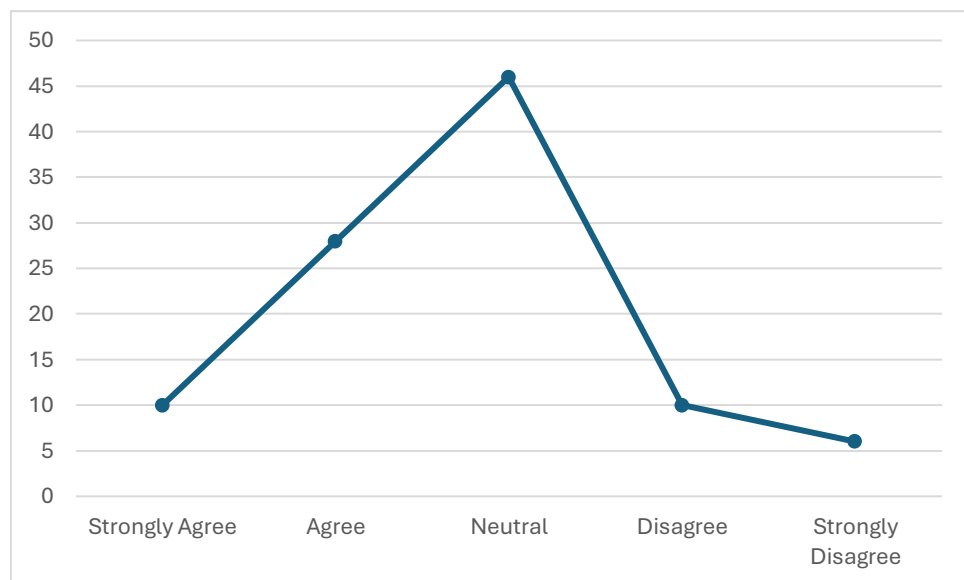


Figure 4.2.3

Interpretation:

The pie chart shows opinions on whether financial influencers provide reliable advice. Of 100 responses, 46% **are neutral**, indicating that many people are unsure about the reliability of financial influencers. **28% agree, and 10% strongly agree, indicating that some respondents trust the advice of** financial influencers. On the other hand, **10% disagree, and 6% strongly disagree, indicating that** a smaller group believes that financial influencers do not provide reliable advice. Overall, most respondents remain uncertain, while a moderate number show trust in financial influencers.

4.2.4 How confident are you in investment advice shared on social media?

Table 4.2.4

S.No	Particulars	No. Of Respondents	Percentage
1	Always	6	6%
2	Often	23	23%
3	Sometimes	33	33%
4	Rarely	20	20%
5	Never	18	18%
	Total	100	100%

Source: Primary Data

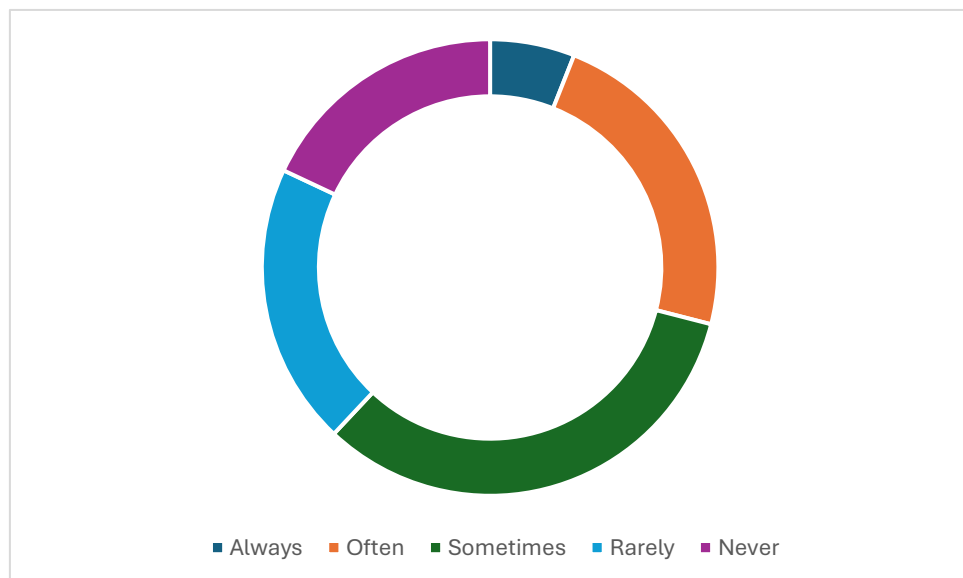


Figure 4.2.4

Interpretation:

The pie chart shows the level of confidence people have in investment advice shared on social media. Among 100 responses, 33% of respondents sometimes trust the advice, the highest percentage. **23% often have confidence** in such advice, while **20% rarely trust it**. **18% of respondents never trust investment advice from social media**, and only **6% always have confidence** in it. Overall, most respondents show **moderate or occasional confidence**, indicating that people are cautious when relying on social media for investment advice.

4.2.5 Whose opinion on social media do you trust the most for stock market decisions?

Table 4.2.5

S.No	Particulars	No. Of Respondents	Percentage
1	Financial Experts	21	21%
2	Markets Influencers	20	20%
3	Friends	17	17%
4	Online Communities	6	6%
5	I Do Not Trust Any	36	36%
	Total	100	100%

Source: Primary Data

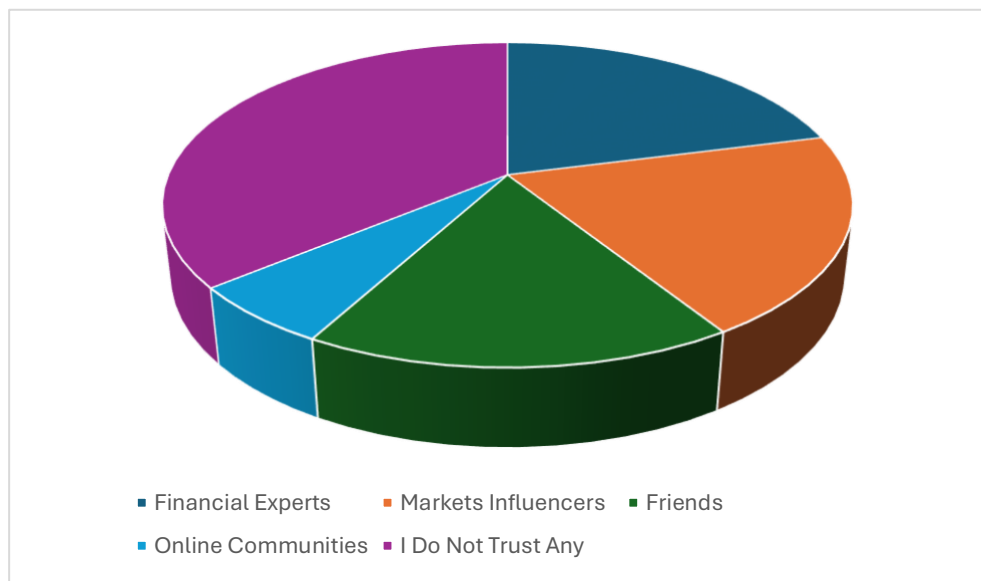


Figure 4.2.5

Interpretation:

The pie chart shows whose opinions people trust most on social media for stock market decisions. **36% of respondents say they do not trust anyone**, which is the highest percentage. **21% trust financial experts**, while **20% trust market influencers**. **17% rely on friends**, and only **6% trust online communities**. Overall, the chart indicates that many people are **sceptical about trusting social media sources for stock market decisions**.

4.3 To identify the impact of social media news, trends, and online discussions on stock price movements.

4.3.1 Can social media discussions affect stock prices?

Table 4.3.1

S.No	Particulars	No. Of Respondents	Percentage
1	Strongly Agree	9	9%
2	Agree	34	34%
3	Neutral	37	37%
4	Disagree	11	11%
5	Strongly Disagree	9	9%
	Total	100	100%

Source: Primary Data

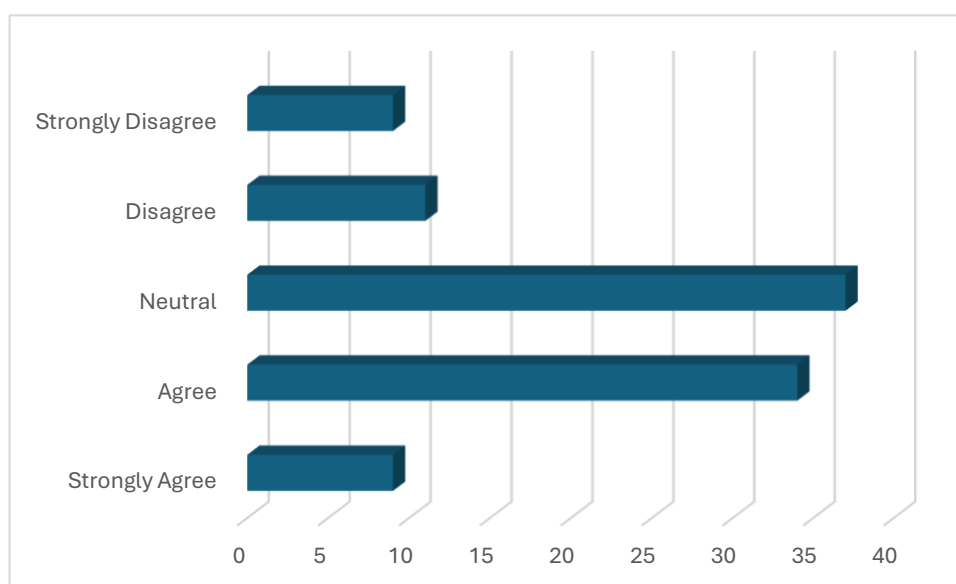


Figure 4.1.15

Interpretation:

The pie chart shows opinions on whether social media discussions can affect stock prices. **37% of respondents are neutral**, indicating uncertainty about the impact. **34% agree**, and **9% strongly agree**, showing that many believe social media discussions can influence stock prices. However, **11% disagree**, and **9% strongly disagree**, suggesting that some respondents do not think social media affects stock prices. Overall, the chart shows that while many people believe social media may influence stock prices, a large number remain neutral.

4.3.2 Have you noticed stock prices rising or falling due to discussions on social media platforms?

Table 4.3.2

S.No	Particulars	No. Of Respondents	Percentage
1	Yes, Very Frequently	17	17%
2	Yes, sometimes	30	30%
3	Occasionally	25	25%
4	Rarely	13	13%
5	Never	15	15%
	Total	100	100%

Source: Primary Data

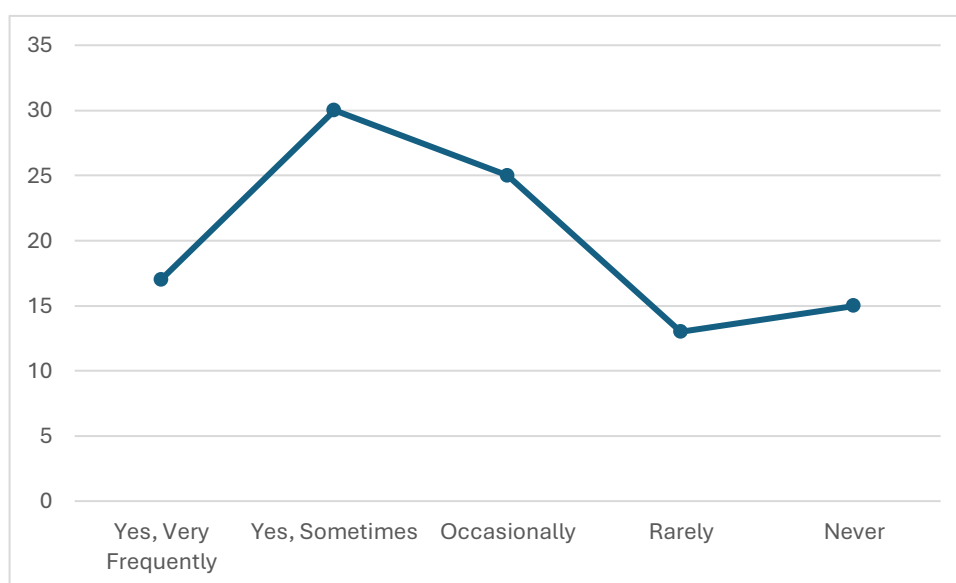


Figure 4.3.2

Interpretation:

The pie chart shows that most respondents believe social media discussions influence stock prices. **30%** said prices **sometimes** rise or fall due to social media, and **25%** think it happens **occasionally**. **17%** feel it happens **very frequently**. In contrast, **13%** believe it **rarely** happens, and **15%** think it **never** affects stock prices.

4.3.3 Do you think social media hype can increase stock prices?

Table 4.3.3

S.No	Particulars	No. Of Respondents	Percentage
1	Always	17	17%
2	Often	19	19%
3	Sometimes	39	39%
4	Rarely	8	8%
5	Never	17	17%
	Total	100	100%

Source: Primary Data

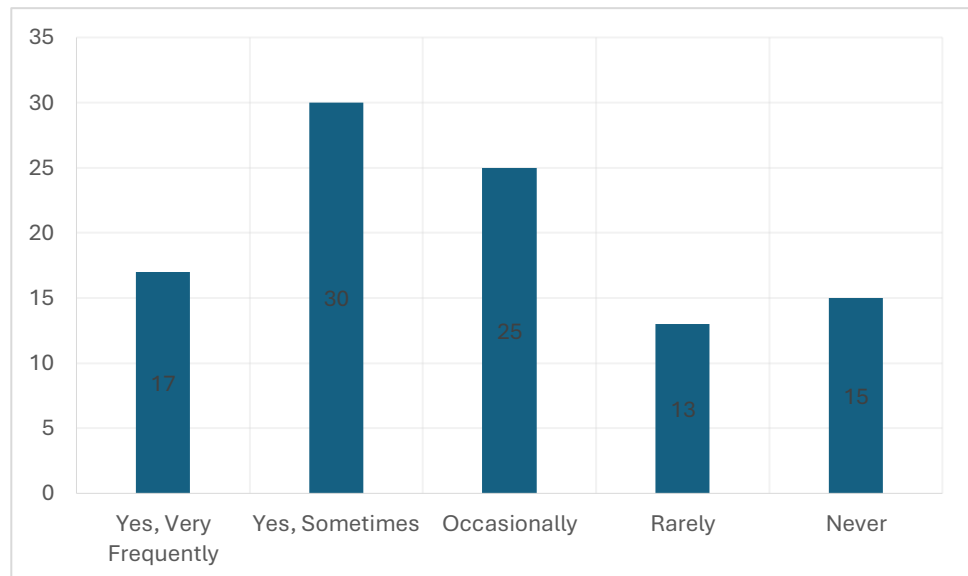


Figure 4.3.3

Interpretation:

The pie chart indicates that many respondents think social media hype has some influence on stock prices. The largest portion (39%) believes it **sometimes** increases stock prices, while 19% say it **often** does and 17% think it **always** does. Meanwhile, a smaller share of respondents are less convinced, with 8% saying it **rarely** affects prices and 17% believing it **never** has an impact. Overall, the responses suggest that most people acknowledge at least some influence of social media hype on stock prices.

4.3.4 Do viral trends on social media impact stock market movements?

Table 4.3.4

S.No	Particulars	No. Of Respondents	Percentage
1	Strongly Agree	11	11%
2	Agree	29	29%
3	Neutral	44	44%
4	Disagree	6	6%
5	Strongly Disagree	10	10
	Total	100	100%

Source: Primary data

18. Do viral trends on social media impact stock market movements?

100 responses

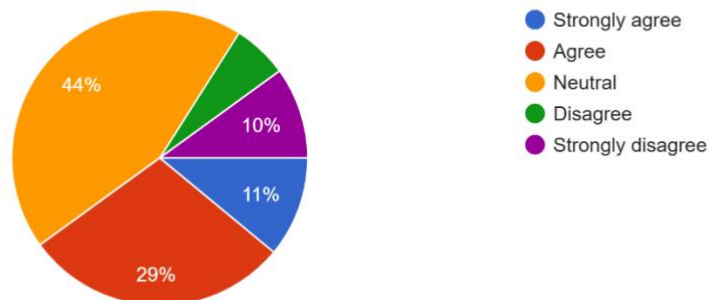


Figure 4.3.4

Interpretation:

The pie chart shows that the largest group of respondents (44%) are **neutral** about whether viral trends on social media impact stock market movements. Meanwhile, 29% **agree**, and 11% **strongly agree**, suggesting that a considerable portion believes viral trends can influence the market. On the other hand, fewer people **disagree** (6%) or **strongly disagree** (10%). Overall, the results indicate mixed opinions, with many respondents uncertain but a notable number believing that viral social media trends can affect stock market movements.

4.3.5 Do you follow social media trends to predict stock price changes?

Table 4.3.5

S.No	Particulars	No. Of Respondents	Percentage
1	Always	11	11%
2	Often	20	20%
3	Sometimes	37	37%
4	Rarely	14	14%
5	Never	18	18%
	Total	100	100%

Source: Primary Data

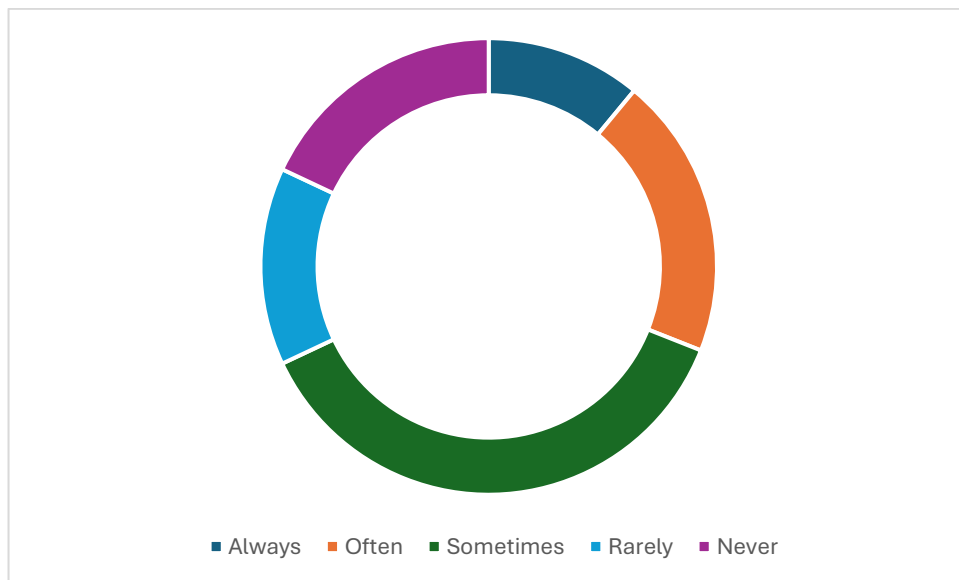


Figure 4.1.19

Interpretation:

The pie chart shows how often people follow social media trends to predict stock price changes. Among 100 respondents, 37% sometimes follow social media trends, the highest percentage. **20% often** rely on social media, while **11% always** use it for predicting stock prices. On the other hand, **14% rarely** follow social media trends, and **18% never** depend on them. This indicates that most investors **occasionally use social media as a source of information**, but only a smaller number rely on it consistently for stock market predictions.

4.4 To suggest measures for investors to make better decisions while using social media as a source of information.

4.4.1 Do you think investors should compare multiple sources before investing based on social media information?

Table 4.4.1

S.No	Particulars	No. Of Respondents	Percentage
1	Strongly Agree	20	20%
2	Agree	25	25%
3	Neutral	37	37%
4	Strongly Disagree	8	8%
5	Disagree	10	10%
	Total	100	100%

Source: Primary Data

20. Do you think investors should compare multiple sources before investing based on social media information?

100 responses

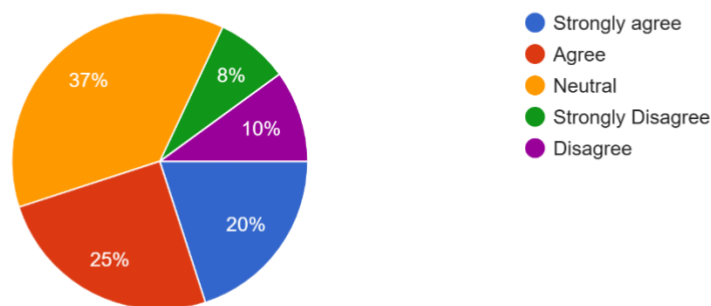


Figure 4.4.1

Interpretation:

The pie chart shows opinions on whether investors should compare multiple sources before investing based on social media information. Of 100 respondents, 25% agree, and 20% strongly agree that investors should compare multiple sources. 37% remain neutral, which is the largest group. Meanwhile, 10% disagree, and 8% strongly disagree with this idea. This indicates that while many respondents support verifying information from multiple sources, a significant number remain neutral on the issue.

4.4.2 What action do you take when you see stock tips on social media?

Table 4.4.2

S.No	Particulars	No. Of Respondents	Percentage
1	Immediately Invest	5	5%
2	Research Further Before Investing	50	50%
3	Ignore The Tip	29	29%
4	Discuss With Others First	16	16%
	Total	100	100%

Source: Primary Data

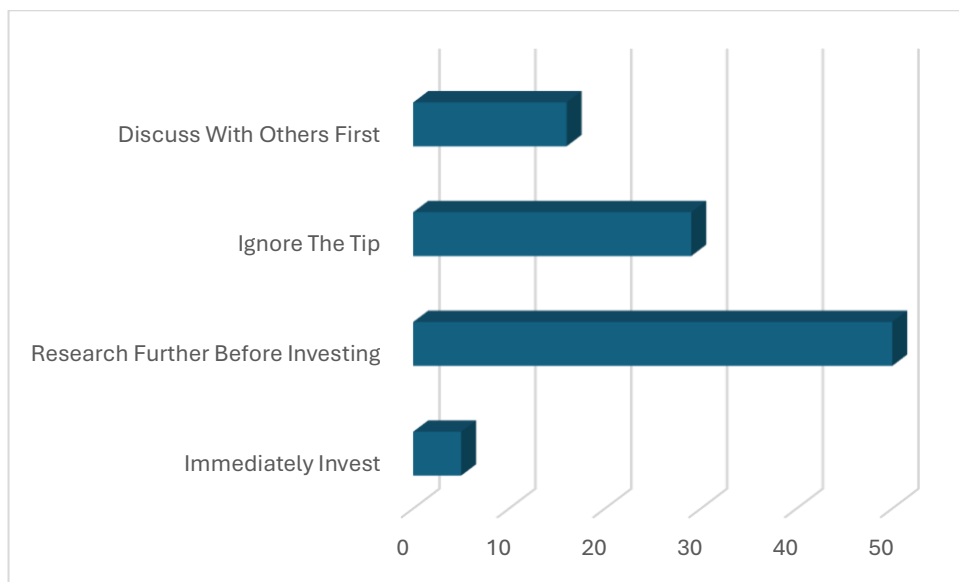


Figure 4.4.2

Interpretation:

The pie chart shows the actions respondents take when they see stock tips on social media. The majority, **50%**, prefer to **research further before investing**, indicating a cautious approach. **29% ignore the tip**, while **16% discuss it with others first** before making a decision. Only **5% immediately invest** based on social media tips. This shows that most investors **do not unthinkingly follow social media advice and prefer to verify information before investing**.

4.4.3 Do you verify investment information from social media before making a decision?

Table 4.4.3

S.No	Particulars	No. Of Respondents	Percentage
1	Always	22	22%
2	Often	21	21%
3	Sometimes	33	33%
4	Rarely	11	11%
5	Never	13	13%
	Total	100	100%

Source: Primary Data

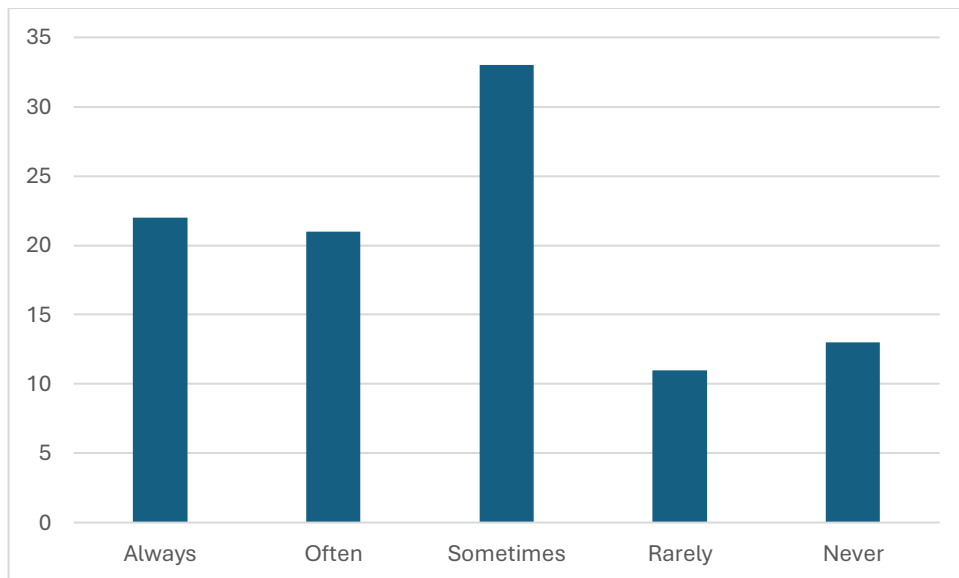


Figure 4.4.3

Interpretation:

The pie chart shows whether respondents verify investment information from social media before making a decision. The largest group, **33%, sometimes** verify the information. **22% always** check the information, while **21% often** verify it before investing. However, **11% rarely** verify, and **13% never** check the information. This indicates that **many investors try to verify social media information before making investment decisions, but some still rely on it without proper verification.**

4.4.4 How helpful are financial awareness programs in improving investment decisions?

Table 4.4.4

S.No	Particulars	No. Of Respondents	Percentage
1	Very Helpful	20	20%
2	Helpful	50	50%
3	Slightly Helpful	17	17%
4	Not Helpful	13	13%
	Total	100	100%

Source: Primary Data

23. How helpful are financial awareness programs in improving investment decisions?
100 responses

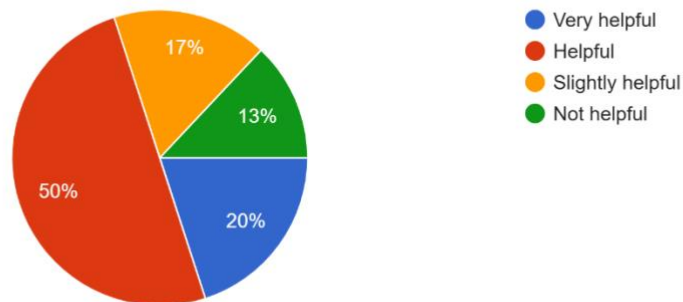


Figure 4.4.4

Interpretation:

The pie chart shows that financial awareness programs help people make better investment decisions. Out of 100 responses, **50%** of respondents feel these programs are **helpful**, while **20%** say they are **very helpful**. Around **17%** think they are **slightly helpful**, and only **13%** believe they are **not helpful**. This indicates that most people consider financial awareness programs useful for improving their investment decisions.

4.4.5 Do you think investors should set a clear investment goal before following social media advice?

Table 4.4.5

S.No	Particulars	No. Of Respondents	Percentage
1	Strongly Agree	26	26%
2	Agree	34	34%
3	Neutral	24	24%
4	Disagree	7	7%
5	Strongly Disagree	9	9%
	Total	100	100%

Source: Primary Data

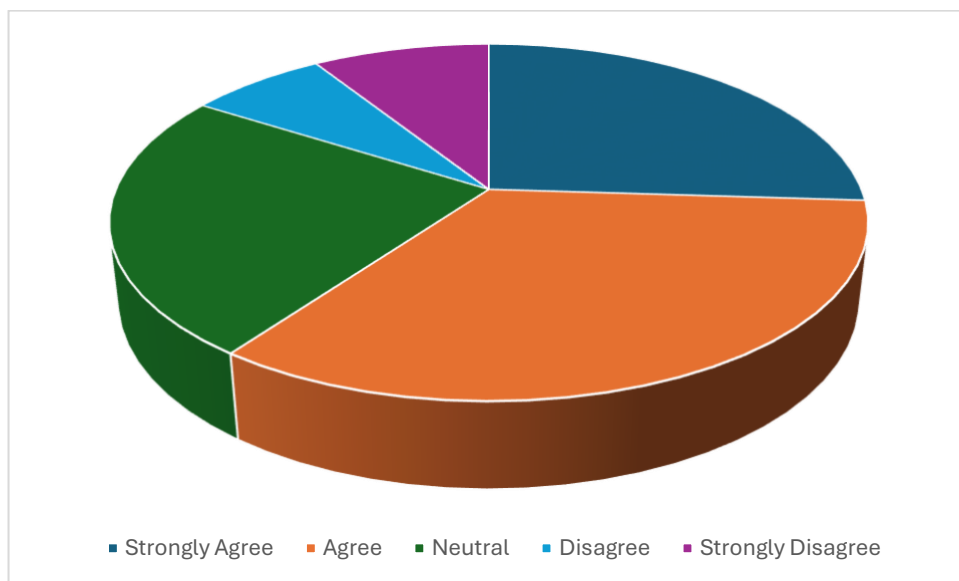


Figure 4.4.5

Interpretation

The pie chart shows that most respondents believe investors should set a clear investment goal before following social media advice. **34% agree, and 26% strongly agree, indicating strong support for clear goals.** **24% are neutral**, while only **7% disagree** and **9% strongly disagree**. This indicates that the majority feel having a clear investment goal is important before relying on social media advice for investment decisions.

CHI-SQUARE TEST OF GOODNESS OF FIT

1.How confident are you in investment advice shared on social media?

Table

S.No	Particulars	No. Of Respondents	Percentage
1	Always	6	6%
2	Often	23	23%
3	Sometimes	33	33%
4	Rarely	20	20%
5	Never	18	18%

SOURCE: Primary data

Null Hypothesis (H_0): There is no significant difference in respondents' confidence in investment advice shared on social media.

Alternative Hypothesis (H_1): There is a significant difference in respondents' confidence in investment advice shared on social media.

Expected Frequency ($\Sigma X/N$) = $(100/5) = 20$

Where,

Σ = Total number of respondents

N = Total number of options

Option	O	E	(O-E)	(O-E) ²	(O-E) ² /E
Always	6	20	-14	196	9.80
Often	23	20	3	9	0.45
Sometimes	33	20	13	169	8.45
Rarely	20	20	0	0	0.00
Never	18	20	-2	4	0.20
	$\Sigma X = 100$				$X^2=18.90$

Degree of Freedom (DF) = $(n-1) = (5-1) = 4$

Significance Level (α) = $5\% = 0.05$

Table value = 9.488

RESULT

In the above problem, Alternative Hypothesis (H_1) is accepted.

INTERPRETATION:

The calculated value of $\chi^2 = 18.90$ is greater than the table value of 9.488. Therefore, there is a significant difference in respondents' confidence in social media

investment advice. Most respondents show moderate confidence, indicating cautious reliance on such advice.

2. How helpful are financial awareness programs in improving investment decisions?

Table

S.No	Particulars	No. Of Respondents	Percentage
1	Very Helpful	20	20%
2	Helpful	50	50%
3	Slightly Helpful	17	17%
4	Not Helpful	13	13%

SOURCE: Primary data

Null Hypothesis (H_0): There is no significant impact of financial awareness programs on investment decisions.

Alternative Hypothesis (H_1): There is a significant impact of financial awareness programs on investment decisions.

Expected Frequency ($\Sigma X/N$) = $(100/4) = 25$

Where,

Σ = Total number of respondents

N = Total number of options

Option	O	E	(O-E)	(O-E) ²	(O-E) ² /E
Very Helpful	20	25	-5	25	1.00
Helpful	50	25	25	625	25.00
Slightly Helpful	17	25	-8	64	2.56
Not Helpful	13	25	-12	144	5.78
	$\Sigma X = 100$				$X^2 = 34.32$

Degree of Freedom (DF) = $(n-1) = (4-1) = 3$

Significance Level (α) = $5\% = 0.05$

Table value = 7.815

RESULT

In the above problem, Alternative Hypothesis (H_1) is accepted.

INTERPRETATION:

The calculated value of $\chi^2 = 34.32$ is greater than the table value of 7.815. Therefore, financial awareness programs have a significant impact on investment decisions, and most respondents find them helpful.

CHAPTER-V
FINDINGS, SUGGESTIONS, AND
CONCLUSION

5.1 FINDINGS

- Social media helps investors stay up to date with real-time market news, improving awareness and knowledge.
- Many investors make decisions based on opinions and tips rather than proper research, increasing risk levels.
- Emotional reactions such as panic selling and overconfidence are often triggered by online posts, whether positive or negative.
- Short, simplified content on social media may lead to an incomplete understanding of complex financial concepts
- Investors often trust information that is repeatedly shared or trending on multiple platforms.
- Personal recommendations and testimonials on social media increase the level of trust among users.
- Some investors blindly follow influencers without checking their qualifications or credibility.
- Trust is higher among beginners compared to experienced investors, who are more cautious
- Positive sentiment on social media can create artificial demand for certain stocks.
- Negative news or rumours can quickly lead to panic selling and sudden price drops.
- Hashtags, trending topics, and viral posts play a significant role in attracting investor attention.
- Social media amplifies market volatility, especially in small-cap and lesser-known stocks.
- Investors who analyse both positive and negative opinions make more balanced decisions.
- Diversification of investments reduces the risk of losses caused by misleading social media trends.

- Time management in consuming social media content helps avoid information overload.
- Using trusted financial apps and official data sources alongside social media improves accuracy.

5.2 Suggestions

- Investors should verify information from multiple sources before making decisions, rather than relying solely on social media posts.
- Awareness programs can educate investors about emotional biases such as fear and greed.
- Investors should avoid making quick decisions based on trending news or viral content.
- Long-term investment strategies should be encouraged instead of impulsive short-term trading influenced by social media.
- Investors should treat social media as a secondary source, not the primary source of investment information.
- Trust should be placed only on verified accounts and expert opinions rather than unknown influencers.
- Platforms should improve transparency by verifying financial content creators.
- Awareness should be created about fake news and misleading investment tips on social media.
- Investors should avoid blindly following trends or “hype” stocks discussed online.
- Regulatory bodies should monitor and control misleading information that can manipulate stock prices.
- Investors should analyse whether price movements are based on real performance or just social media buzz.
- Long-term value of stocks should be considered rather than short-term fluctuations caused by online discussions
- Following credible financial experts and official company pages can improve decision quality.
- Setting clear investment goals and risk tolerance can help avoid confusion from mixed opinions online.

- Regular financial literacy programs should be promoted to improve investor knowledge.
- Investors should maintain discipline and avoid overtrading based on frequent social media updates.

5.3 Conclusion

The study finds that social media has reshaped stock markets by influencing investor behaviour and choices. It makes financial information widely available, dismantling traditional barriers to knowledge and access. Platforms such as Twitter, YouTube, and online forums provide real-time updates, expert analysis, and peer insights, increasing market participation. This especially benefits younger and novice investors, who depend on digital platforms for financial knowledge and investment ideas.

The research observes that increasing reliance on social media poses risks. Many investors react to trends, viral posts, or influencer opinions without thorough research or analysis. This often leads to emotional, impulsive choices driven by fear or greed. Additionally, misinformation and rumours on social media may deceive investors, triggering panic or overconfidence. These behaviours amplify volatility and can undermine market stability.

Furthermore, the study notes social media's impact varies by investor type. Inexperienced investors are more vulnerable to online trends, while seasoned investors use social media prudently as a supplementary tool, integrating it with fundamental and technical analysis. This discipline mitigates risks and supports rational decisions in a rapidly evolving market. In summary, social media is a double-edged sword for stock market decisions: it increases awareness and participation, but also raises risks of irrationality, misinformation, and herd mentality. Investors should think critically, verify sources, and base decisions on informed strategies rather than trends alone. Strengthening financial literacy and responsible digital habits promotes stable, informed investment choices.

The study further states that regulatory bodies and financial institutions play a critical role in managing social media's influence on stock markets. Stricter oversight of misleading financial content and efforts to disseminate accurate, educational information are essential. Investor awareness campaigns and workshops enable people to recognise the dangers of unreliable online advice. Regulatory support and improved investor education can reduce negative impacts, fostering a transparent, stable, and efficient market.

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ANNEXURE

1. Age of the respondents

- a) Below 18
- b) 18-25
- c) 25-35
- d) 35 Above

2. Gender

- a) Female
- b) Male

3. Monthly Income

- a) Below 10,000
- b) 11,000-20,000
- c) 21,000-30,000
- d) 30,000 Above
- e) No personal income

4. Occupation

- a) Student
- b) Employee
- c) Business
- d) Other

5. How often do you use social media for investment information?

- a) Always
- b) Often
- c) Sometimes
- d) Rarely
- e) Never

6. I invest based on trending topics on social media?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree

7. I verify the information before making investment decisions?

- a) Always
- b) Often
- c) Sometimes
- d) Rarely
- e) Never

8. Social media creates emotional pressure (fear or excitement) to invest?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree

9. I have made risky investments due to social media influence?

- a) Yes, frequently
- b) Yes, sometimes
- c) Rarely
- d) Never

10. How much do you trust investment advice shared on social media?

- a) Yes
- b) No
- c) Sometimes
- d) Do Not Trust All

11. Which platform do you mainly use for investment information?

- a) YouTube
- b) Instagram
- c) Twitter (X)
- d) Facebook
- e) Others

12. Financial influencers provide reliable advice?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree

13. How confident are you in investment advice shared on social media?

- a) Always
- b) Often
- c) Sometimes
- d) Rarely
- e) Never

14. Whose opinion on social media do you trust the most for stock market decisions?

- a) Financial Experts
- b) Markets Influencers
- c) Friends
- d) Online Communities
- e) I Do Not Trust Any

15. Social media discussions can affect stock prices?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree

16. Have you noticed stock prices rising or falling due to discussions on social media platforms?

- a) Yes, very frequently
- b) Yes, sometimes
- c) Occasionally
- d) Rarely
- e) Never

17. Do you think social media hype can increase stock prices?

- a) Always
- b) Often
- c) Sometimes
- d) Rarely
- e) Never

18. Do viral trends on social media impact stock market movements?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree

19. Do you follow social media trends to predict stock price changes?

- a) Always
- b) Often
- c) Sometimes
- d) Rarely
- e) Never

20. Do you think investors should compare multiple sources before investing based on social media information?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree

21. What action do you take when you see stock tips on social media?

- a) Immediately invest
- b) Research further before investing
- c) Ignore the tip
- d) Discuss with others first

22. Do you verify investment information from social media before making a decision?

- a) Always
- b) Often
- c) Sometimes
- d) Rarely
- e) Never

23. How helpful are financial awareness programs in improving investment decisions?

- a) Very helpful
- b) Helpful
- c) Slightly helpful
- d) Not helpful

24. Do you think investors should set a clear investment goal before following social media advice?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree